

Ashapura Minechem Ltd

Concall Tracker — earnings-call read-through | Screener ticker: ASHAPURMIN (BSE 527001) | Report date: 05 July 2026

This report reads Ashapura Minechem's earnings conference calls (called "concalls" — the calls where management explains the quarterly results to investors) to answer two questions in plain English: **(1)** is there a real, durable reason the profits should keep growing (an "earning trigger"), and **(2)** has management been consistent — did they do what they said they would?

1. Snapshot

What the company does: Ashapura digs up and sells industrial minerals. It has two very different halves. **India:** bentonite (a clay used in oil-drilling, foundries and animal feed), bleaching clay (used to purify edible oil), kaolin (a white clay used in paint and fibreglass) and ceramic materials. **Guinea (West Africa):** a large bauxite-mining and export operation — bauxite is the rock that aluminium is made from — shipped almost entirely to China, plus a new iron-ore business. Guinea is now roughly 80% of the group and is the growth engine.

Important number-gap flag: Screener's downloadable financials for this company are **standalone** (the India parent company only) — they show FY26 sales of only about ₹432 crore. But management runs and reports the business on a **consolidated** basis (India + Guinea), where FY26 sales were about **₹5,237 crore**. Because Guinea is ~80% of the real business, **this report uses the consolidated figures management gave on the calls**, not the standalone Screener sheet. Where I quote a number, it is consolidated unless stated.

Basic figure	Value	Plain-English read
Market capitalisation	₹6,165 crore	What the whole company is worth on the stock market today.
Share price (range)	₹645 (year ₹437–₹925)	The price has swung widely this year — it has more than doubled off the low and pulled back from the high.
Revenue FY26 (consolidated)	₹5,237 crore	Total group sales for the year — up about 91%, nearly double last year's ₹2,739 crore. The best year in the company's history.
Operating profit FY26 (EBITDA)	₹674 crore	Profit from running the business before interest, tax and depreciation — up about 51% from ₹445 crore.
Pre-tax profit FY26 (before one-offs)	₹450 crore	Profit before tax and before exceptional items — up about 48% from ₹305 crore.
Return on capital (ROCE, per Screener)	36.6%	For every ₹100 of capital in the business it earns about ₹37 a year before tax — a high, attractive return.
Dividend	100% (of ₹2 face value)	Board recommended a ₹2-per-share dividend for FY26 — the yield is small (~0.15%), so this is a growth story, not an income one.

2. Concall coverage

Ashapura only started holding investor calls recently — the first ever ("maiden") call was for the June-2025 quarter. All four calls held so far were read in full for this report.

Quarter	Call date	Transcript read?
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Q1 FY26 (Apr–Jun 2025) — maiden call	04 Sep 2025	Yes — full
Q2 FY26 (Jul–Sep 2025)	21 Nov 2025	Yes — full
Q3 FY26 (Oct–Dec 2025)	11 Feb 2026	Yes — full
Q4 & FY26 (Jan–Mar 2026)	04 Jun 2026 — latest	Yes — full

Coverage spans only about nine months (four consecutive quarters, all within FY26). The latest call is present. Because the track record is this short, the consistency read below is necessarily limited — there is no multi-year history to test management against yet.

★ Latest concall highlights — Q4 & full-year FY26 (call held 4 June 2026)

- **Record year.** Q4 group revenue was ₹1,969 crore (roughly double Q3's ₹960 crore); full-year revenue ₹5,237 crore, up ~91%. Meaning: sales almost doubled for the year — the biggest year ever.
- **But profitability dropped sharply late in the year.** Q4 profit-per-tonne of bauxite (EBITDA per tonne) fell to about US\$5.9, down from ~US\$10 in Q3 — a near-50% squeeze. Meaning: they sold a lot more, but each tonne made much less money, because the bauxite selling price crashed from ~US\$75 to ~US\$60 and fuel/freight costs rose.
- **Volume nearly doubled.** Guinea shipped about 8 million tonnes of bauxite in FY26 versus ~3.5 million the year before. Meaning: the core growth engine is clearly delivering on volume.
- **A potential tailwind: Guinea's government is planning a bauxite "quota" system.** Management expects it to cut the big miners' volumes by ~20–25% and help smaller, genuine producers like Ashapura — reducing oversupply and lifting prices. Guinea has also stopped issuing new licences for 3–5 years. Meaning: the rules may soon shift in Ashapura's favour, though details are not out yet.
- **Tone: confident on volume, honestly cautious on near-term margins.** They expect Q1 FY27 to stay weak (war-driven fuel costs, price still soft) and margins to recover only after that. FY27 volume target reiterated at 10–12 million tonnes, with 15 million by FY27–28.

2b. Business mix & capacity (quick-glance panel)

Export vs domestic: In FY26 Guinea (essentially exports, ~100% shipped to China) generated ~₹4,200 crore and India ~₹998 crore. So roughly **80% exports / 20% domestic** of consolidated revenue — meaning about four-fifths of sales come from shipping bauxite out of West Africa to China.

Capacity / utilisation: The binding limit is **port shipping capacity in Guinea**, currently ~15–16 million tonnes a year; FY26 used about 8 million, so there is meaningful headroom. Ports are being expanded (Boffa port from ~5 to ~10 million tonnes, nearly done; a second port later) toward a 20–27 million-tonne target. In India, the bleaching-clay and kaolin plants are already running at or near full capacity, so India growth needs the ₹150-crore capex planned for FY27.

3. Earning-trigger thesis ★

The main reason profits are growing is the Guinea bauxite ramp-up. After ~9 years and ~US\$135 million invested building three ports and 370+ km of roads in Guinea, Ashapura has moved from a small, loss-prone Indian minerals company into a large bauxite exporter. Volumes went from ~3.5 million tonnes (FY25) to ~8 million tonnes (FY26), and consolidated revenue almost doubled. Management's stated target is 15 million tonnes by FY27–28, with the infrastructure being built for "far beyond" that.

This is a concrete, already-visible driver — not a promise on paper. The main risk is **price, not volume**: the bauxite price crashed in early 2026 and squeezed profit-per-tonne, so the trigger is real but its profitability is cyclical.

Trigger	What management said	Evidence so far	Time horizon	Strength
Guinea bauxite volume ramp	Grow to 15 million tonnes by FY27–28 (10–12 mt in FY27); ports expanding to 20–27 mt	Volume already up from 3.5 → 8 mt; revenue +91%; ports part-built and expanding	1–3 years	Strong — biggest, proven, still-live driver
Bauxite price / margin recovery	Price crash is short-term; quota system + aluminium demand should lift prices	Price fell ~US\$75→US\$60 then recovered to ~US\$68–69; profit/tonne fell to \$5.9 in Q4	1–2 quarters	Weak / unproven — depends on China & Guinea policy, outside their control
Iron ore (Guinea)	Trial production begun; meaningful contribution "in a quarter or two"	Still in commissioning after 4 calls; slower than promised; low single-digit margins expected	2+ years	Unproven — repeatedly delayed
India value-added products	New grades in oil & gas, foundry, paints to lift India margins	India revenue ~₹998 cr, EBITDA ₹112 cr; margins pressured by input costs in FY26	Medium term	Moderate — steady but slow-burn, small vs Guinea

4. Management consistency scorecard

Because there are only four calls (all within FY26), this is a promised-vs-delivered check over a short window rather than a multi-year track record.

Period	What was promised	What actually happened	Verdict
Q1 FY26 (Sep 2025)	Linear volume growth toward 15 mt by FY27–28; port capacity to 27 mt by Q1 FY27; no yearly guidance	FY26 hit ~8 mt (roughly on the linear path); port expansion under way but timeline slipped slightly to Q2 FY27 / FY27–28	Delivered (with minor timeline slip)
Q1–Q2 FY26	Iron-ore business to "commercialise in the next quarter or two"	Still only in trial/commissioning by Q4; management admits it is slower than expected	Missed / still too-early
Q2 FY26 (Nov 2025)	H2 to be stronger than H1; current profit/tonne is the "lower end of the range"; margins may moderate	Q3 improved, but Q4 profit/tonne fell to \$5.9 as prices crashed — they had pre-warned of this moderation	Partly (warned honestly, then it happened)
Q3 FY26 (Feb 2026)	Q3 internal volume target missed due to monsoon; Q4 to be a record quarter	Openly admitted the Q3 miss; Q4 was indeed a record quarter (~3.2 mt)	Delivered + candid about the miss
Q4 FY26 (Jun 2026)	FY27 volume 10–12 mt; margins to recover after a weak Q1; quota system to help	Too early to judge — forward guidance	Too-early

Narrative drift: The core story has stayed remarkably steady across all four calls — same two-part structure (India + Guinea), same 15-million-tonne target, same China-demand and Guinea-supply logic. Management is unusually transparent for a first-year IR programme: they give segment-wise numbers, admit misses (the Q3 monsoon shortfall), and pre-warned that margins would moderate before it happened. The one clear soft spot is **iron ore**, which has been "a quarter or two away" for a whole year. Tone shifted appropriately — buoyant in Q1–Q2, more sober and cost-focused in Q3–Q4 as prices fell — without abandoning the plan.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live driver: the Guinea bauxite ramp. It is not a slide-deck promise — volume already jumped from ~3.5 to ~8 million tonnes and group revenue nearly doubled in a single year, with ports and roads already built and expanding toward a 15-million-tonne target. The honest caveat: profitability is **cyclical** — the bauxite price crash in early 2026 halved profit-per-tonne, and the ultimate margin depends on Chinese demand and Guinean policy, which Ashapura does not control. So the volume trigger is Strong and real; the earnings it produces will be lumpy. This is a Yes.

Management consistent? → YES (but on a short, ~9-month record)

Over the four calls they have held, management largely did what they said: the volume ramp is on its linear path, they delivered a record Q4, they were candid about the Q3 monsoon miss, and they pre-warned that margins would moderate before it actually happened. The story has not drifted. The honest deductions: the track record is only about nine months (so this verdict has limited runway to stand on), and the iron-ore business has been "a quarter or two away" for the entire period without arriving. Neither is enough to knock this below a Yes — but the short history is the reason to keep watching rather than fully trusting.

Sources: Ashapura Minechem earnings-call transcripts for Q1 FY26 (4 Sep 2025), Q2 FY26 (21 Nov 2025), Q3 FY26 (11 Feb 2026) and Q4/FY26 (4 Jun 2026), all from Screener.in; Screener snapshot and financial statements. Consolidated figures are as stated by management on the calls. This is an educational read-through of what management said and delivered, not investment advice.